

payouts every year. Dividends are discretionary distributions of a corporation's earnings made by its board of directors to its shareholders. A solid dividend paying history lets you know that the corporation is profitable, and there is a high degree of confidence that it will stay that way. You also have the advantage of getting paid during the time you hold the investment, frequently at rates far above the interest being offered in alternative investment vehicles such as CDs and money markets. Current income tax laws also favor dividend income received by shareholders as it is subject to a lower tax rate than other forms of income such as salaries, interest, or rents. The maximum rate of federal income tax on dividend income is currently 15 percent, while the maximum rate of taxation on those other forms of income can be as high as 35 percent. Please note that many current federal income tax laws are scheduled to expire on December 31, 2012, and if no congressional action is taken to extend the current law, dividends will lose this tax-advantaged rate.